

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-28

WAY INTERGLOBAL NETWORK, LLC

v.

SHENZHEN UNIFELIX SCM LIMITED

**RESPONDENT'S REPLY IN SUPPORT OF MOTION TO DISMISS
COMPLAINT**

Respondent Shenzhen Unifelix SCM Limited (“Unifelix”) submits the following reply to Way Interglobal Network LLC’s (“Way”) response to Unifelix’s Motion to Dismiss (“Motion”) on the following grounds:

1. Way’s response (“Response”) to Unifelix’s Motion argues that the Complaint is within the Federal Maritime Commission’s (“FMC”) subject matter jurisdiction because the Complaint makes allegations regarding freight in addition to the allegations regarding inland demurrage. (Response, p. 3.) However, those sparse allegations as to freight are insufficient to support a claim, and therefore the Complaint should be dismissed.
2. Way’s Response argues without support that the allegations regarding inland demurrage should be resolved by the FMC because they do not fall the “conventional experience of judges.” (Response, pp. 4-5.) This argument

- ignores the fact that state and federal courts regularly handle demurrage disputes, and also ignores the fact that the FMC has previously limited its jurisdiction of demurrage claims to those accruing in “marine terminals.”
3. After removing allegations of breach of the shipping contract, there remain insufficient allegations to support a claim for breach of the Shipping Act.
 4. Why’s Response admits that Why has not yet suffered damages that would entitle it to restitution.

I. ARGUMENT

1. WHY’S RESPONSE CONFIRMS LACK OF SUBJECT MATTER

JURISDICTION OVER THIS DISPUTE AS TO INLAND DEMURRAGE

Unifelix’s Motion pointed out that this dispute as to inland demurrage was outside of FMC’s jurisdiction. Why does not directly contest this point, but rather argues that the few vague references to “freight” in the Complaint somehow salvage its subject matter jurisdiction. They do not.

In Section III of Why’s Complaint entitled “JURISDICTION”, Why alleges its claim for jurisdiction is based on “Respondent’s ... failures to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of WAY, the unlawful disclosure of WAY’s information, failure by Respondent to establish, observe, and enforce just and reasonable practices relating to adjustment and settlement of claims...” (Complaint, p. 2). Why

does not allege in its JURISDICTION allegations that any disputes as to freight would support jurisdiction.

In its Response, Way argues that the references to “freight” in paragraphs 15 and 16 of the Complaint somehow support jurisdiction. (Response, p. 3.) Paragraph 15 alleges that Unifelix demanded payment of “all shipping freight charges” upfront before allowing Way to pick up the Containers. No explanation is made as to whether those freight charges are for ocean, rail or trucking. However, based on the fact that prepayment was allegedly demanded for cargo already in a Chicago railyard, they were presumably not for the prepayment of ocean shipping charges. Further, no reference is made as to which sections of the Shipping Act were allegedly violated by this demand for prepayment of these unspecified charges, but, certainly, demand for prepayment of trucking and rail charges would not violate the Shipping Act.

The fact that these demands for prepayment did not include ocean freight is then confirmed in Paragraph 16, which specifically stated that “Unifelix then advised WAY that the shipping freight charges did not include ocean freight charges and that those charges would need to be paid by WAY directly to the ocean carrier(s).” (Complaint, p. 5, ¶ 16.). Again, no citation is made as to which section of the Shipping Act would be violated for instructing Way to pay an ocean carrier directly for unpaid ocean freight.

The Response also fails to cite to any legal authority which would extend the FMC’s jurisdiction to inland demurrage, demands for prepayment of trucking or rail

charges, and/or instructing a consignee to pay unpaid ocean freight charges directly to an ocean carrier. The case of *Chief Cargo Services v. FMC*, 586 F.App'x 730 (2nd Cir. 2014), was cited repeatedly in the Response, which involved a claim of misdelivery for the release of cargo without presentation of an original bill of lading. In no way could that case involving failure to demand an original bill of lading be construed to extend the FMC's jurisdiction over inland demurrage or the payment of trucking charges or unpaid freight.

2. CLAIMS FOR DEMURRAGE ARE WITHIN THE CONVENTIONAL EXPERTISE OF STATE AND FEDERAL JUDGES

Way's Response also argues that jurisdiction should be accepted by the Commission because this matter allegedly involves matters "not within the conventional experience of judges or cases requiring the exercise of administrative discretion...." (Response, p. 4, *quoting Far East Conference v. United States*, 342 U.S. 570, 574 (1952).) This argument ignores the fact that state and federal courts regularly handle lawsuits involving claims over demurrage and freight charges, thus putting the dispute within the "conventional experience of judges." It also ignores the fact that the Commission has specifically limited its own jurisdiction to demurrage claims arising within marine terminals, and therefore the FMC has already determined that this dispute does not require the exercise of its administrative discretion. *See* 46 CFR § 545.5(b).

3. COMPLAINT CONTAINS NO ALLEGATIONS OF FACT THAT WOULD
CONSTITUTE A BREACH OF THE SHIPPING ACT

Way's Response argues that the Complaint should not be dismissed just for alleging breaches of Unifelix's service contract because allegations as to the breaches of the Shipping Act should still be resolved by the FMC. (Response, p. 5.) However, as discussed in the Motion, after removing allegations as to the claimed breach (or attempted breach) of the service contract, there are no allegations of Shipping Act violations.

The Response effectively confirms this fact by not citing to any factual allegations in the Complaint that would constitute a breach of the Shipping Act. Instead, Way again points to issues occurring outside the scope of the FMC's jurisdiction: "As alleged, the **Respondent has failed to substantiate demanded charges, including detention, demurrage, ocean freight as well as inland rail charges**. Such actions occurring twenty (20) times as to the referenced containers constitute an unjust and unreasonable practice under the Shipping Act." (Response, pp. 5-6 (Emphasis added).) Tellingly, Respondent does not cite to allegations in its complaint that would support that claim, because, as discussed above, the complaint only refers to inland demurrage and inland transportation charges. Consequently, there are no factual allegations that would support a finding that Unifelix violated the Shipping Act.

4. WAY'S RESPONSE CONFIRMS IT HAS NOT SUFFERED DAMAGES THAT WOULD SUPPORT RESTITUTION.

Way's Response admits that it has not yet suffered damages that would entitle it to recover restitution by confirming that its damages are still "unliquidated." (Response, p. 6.). As stated in the Motion, the Shipping Act provides that a private "complainant may seek reparations for an injury to the complainant caused by the violation" of the Act. 46 U.S.C. § 41301. The Complaint has admitted that Way has not paid the demurrage, freight charges or other items of costs alleged. (Complaint, ¶ 24.) Because it has not paid out those costs, Way does not have a valid claim for restitution for damages, and therefore Way has not alleged a claim that is "likely to be redressed by the requested relief." *See E.Y.K. Intl, Inc. v. Sea-Land Service, Inc.*, 1992 A.M.C. 2575, 2576 (C.D. Cal. 1992) citing *Allen v. Wright*, 468 U.S. 737, 751 (1984).

Nor has Way explained how the alleged attempted - yet unsuccessful - breaches of the service contract or statute actually caused Way's potential damages. As discussed in the Motion, Way alleges that Unifelix "demanded payment of freight and other charges in advance, in violation of the Service Contract," but it does not allege that Way paid any freight charges at all, much less that it paid them in advance. (Complaint, ¶ 9.) Uniflex also allegedly attempted but failed to "unilaterally change the terms of the Service Contract" by demanding payment of all transportation charge in advance. (Complaint, ¶10.) Further, Way's vague allegations as to "accumulation of additional demurrage charges" do not support a

finding that Unifelix's actions actually caused Way to suffer those costs as damages. (Complaint, ¶11.)

Way has failed to allege facts that would support a finding that it actually suffered damages, and an abstract or indefinite harm is insufficient to confer standing. *Novak v. United States*, 795 F.3d 1012, 1018 (9th Cir. Haw. 2015).

II. CONCLUSION

Way's Response confirms that its Complaint is outside the FMC's jurisdiction, does not allege facts that would support a finding that the Shipping Act was violated, and does not allege that Way suffered the type of damages that would provide it the necessary standing to proceed before the FMC. Consequently, the Complaint should be dismissed.

Dated: December 30, 2022

Respectfully submitted,

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